

SAMPLE DIAGNOSTIC

MARGIN DIAGNOSTIC SPRINT

5-VOICE COUNCIL

RUN ON OURSELVES

Catalyst Works: The Room We Keep Losing

This is a sample of the diagnostic Catalyst Works produces, run on Catalyst Works itself. Same product a client gets at the Margin Diagnostic Sprint tier, turned inward, so you can see the depth, the method, and the shape of the work before you ever pay for it. It names one binding constraint, proves it with evidence, and ends in a fix you could run on Monday. The finding here: the moment the owner is in front of a buyer, he loses the room, and that one leak is what blocks the whole business. Private figures have been redacted; the method and the reasoning are exactly as delivered.

SAMPLE This is a redacted sample, not a client report. It is the real Catalyst Works diagnostic method, run on Catalyst Works' own business as proof of the work. Private numbers (revenue targets, internal financials) and personal details have been removed or generalized. What remains, the structure, the constraint-first reasoning, the maturity scoring, the five-whys, and the ready-to-use fix, is exactly what a client receives.

SUBJECT

Catalyst Works Consulting (self / dogfood)

ENGAGEMENT

Margin Diagnostic Sprint, run on ourselves

METHOD

Nine-Agent Audit + Theory of Constraints + 5-Voice Council + live owner discovery

Sample diagnostic · Evidence: internal repo, Drive, Notion and research dossiers + the owner's live discovery answers · Multi-round Sankofa Council, premortem mode · Redacted sample / proof asset

~70%

LEAVE NOT KNOWING
WHAT HE DOES

~0%

CLEAR PROSPECTS EVER
ASKED

ALL IN

COMMITMENT
(RESOLVED)

1

BINDING CONSTRAINT
(FIX INCLUDED)

► Executive Summary / TL;DR

EXECUTIVE TL;DR -- READ THIS IN 60 SECONDS

The decision is made (he is all in). The one thing now standing between Catalyst Works and its recurring-revenue floor is a sales rail: one locked message, said the same way every time, so the first conversation stops rambling.

WHAT TO DO (THIS WEEK)

1. Build and drill the rail: one locked offer, a memorized 10 and 30-second pitch, a 3-step ask. Out loud, daily, until automatic. (Section 07, ready to use.)
2. Get in the rooms: take the BNI seat, hit 1 to 2 local events, send one podcast pitch. He converts in person and is not in the rooms yet. (Section 09.)
3. Hold the ROI line: test paid ads with a small budget first; gate every conference trip on booked revenue. (Section 10.)

THE PLAN (90 DAYS, TWO REVENUE LINES)

0 to 30: rail automatic, first rooms, 1 to 2 paid diagnostics (cash now). Test one workshop for seat-fill.

30 to 60: convert to the first retainer; capture the first outcome and testimonial.

60 to 90: a small handful of retainers reaches the recurring-revenue floor, with line of sight to the end-of-year target.

WHY THIS, IN ONE LINE (THE DATA IS BELOW)

He is committed and capable and converts once working with someone, yet about 70 percent of people leave a conversation not knowing what he does, and the 30 percent who get it are never asked. That is a structure problem (an improv-prone, connection-seeing mind with no rail), not a strategy, pricing, or commitment problem. Every section below ends in a concrete do-this, backed by the evidence that says so.

WHAT STANDING STILL COSTS

The rail is the cheapest fix in this report and the most expensive thing to keep missing. The owner's recurring-revenue floor is reachable in about 90 days once the rail exists; until then it stays near zero. So the missing rail holds the entire floor switched off, month after month, while the fix is a week of drilling a script. Per conversation, once he is in rooms, a full retainer's worth of lifetime value walks out unconverted every month. The point is the ratio, not a dollar figure: the cheapest fix in the business is gating the most expensive thing in it. The full sizing is in [Section 06](#).

00 The Reframed Verdict -- One Sentence

THE BINDING CONSTRAINT -- ONE SENTENCE

Catalyst Works no longer has a commitment problem, that decision is made and the owner is all in. It has a conversion problem at the one moment that matters: the owner gets in front of buyers and loses the room, because he has no locked, simple offer to anchor to, so he improvises, the improv spirals, and he never reaches the clarity to ask. The binding constraint is the missing external rail, one locked offer, a memorized pitch, and a three-step consultative ask, that would let his connection-seeing mind sell instead of wander.

Version 1 was right that the documented in-person motion was never run, and right that the strategy is sound. It was wrong about the root. It guessed the root was an unmade commitment. The owner's own answers correct that: the commitment is made, he is full-time and all in. With that gate open, the constraint drops one level to the thing that was hiding underneath it. He converts well when people actually work with him ("when they work with me, things go really well"). The problem is upstream of that: roughly 70 percent of people walk away not knowing what he does, because he rambles, and the roughly 30 percent who do get it never get the ask. The ask-failure is not a courage problem, it is downstream of a clarity-failure, and the clarity-failure is what happens when an improv-prone, cross-domain mind speaks without a rail. The fix is not "be pushier." His consultative, non-pushy style is an asset that closes. The fix is to build the rail.

THE KEYSTONE OF THE WHOLE TURNAROUND: ONE CLEAR MESSAGE

Strip everything else away and the single highest-leverage move in this report is **nailling one clear message and saying it the same way every time**, in person, online, and on the pitch-rail. It directly unblocks the binding constraint: clarity is exactly what the 70 percent are missing, and the ask only becomes natural once the message is clear. Everything downstream (the rooms, the proof, the ads) multiplies a clear message and wastes a muddled one. The recommended message is a validated *return to the company's original core*: **"we find the one thing holding your business back and fix it with the right tool, and sometimes that is AI and often it is not."** Constraint and outcome first, the right tool as the method, AI as one tool and never the headline, and willing to say out loud when AI is not the answer. The evidence backs this: the company's original constraint-first framing (Section 03, Gen 1), which put the business problem before the AI, was the strongest and most on-voice version the business ever had, and the recommended pitch (Section 07) embodies it. The rail is how that one message gets locked, drilled, and finally said without wandering.

► Read First -- The Whole Diagnosis in Plain English

READ THIS FIRST -- THE WHOLE DIAGNOSIS IN PLAIN ENGLISH

The decision is made. Now fix the mouth, not the plan.

Version 1 ended on a question only the owner could answer: is this the boat, or the side project? He answered. It is the boat. That single answer rewrites the diagnosis. Three ideas explain the rest.

1. The commitment question is closed. Stop re-litigating it.

An early read of the evidence put an unmade commitment under everything. The owner's live answers settle it: he is all in, full-time, with no fallback plan competing for his attention. So the binding constraint is no longer "will he commit." That domino has fallen. The constraint is the next one down the line.

2. He converts in person and loses the room before he gets the chance.

Here is the thing the cold-email data hid. He is not bad at selling. When people actually work with him, it goes really well. The leak is earlier, in the first conversation. By his own count, about 70 percent of people leave a conversation not knowing what he does, because he rambles. The 30 percent who do get it, he never asks. He defaults to "let's talk more." So the room, the one channel that actually works for him, leaks out the top before the offer is ever clear and out the bottom before the ask is ever made.

3. The rambling is his superpower with no rail on it.

The same wiring that lets him see connections across domains that nobody else sees, the thing that makes him good at this work, is the wiring that turns an unscripted pitch into a tangent. Ask him an open question with no structure and the connections fire in every direction and he loses his own thread. That is not a discipline problem you fix by trying harder. It is a structure problem you fix with a rail. And he has already proven he can build rails: he runs his entire business on an AI operating system he built so he would not have to hold it all in his head. He solved this exact problem for his work. He has never solved it for his mouth. The fix is to build for the conversation what he already built for the company: one locked offer, a memorized pitch, and a three-step ask he runs on rails.

THE MOVE, BEFORE ANY TACTIC

Build the rail first. Then pour rooms through it. A locked offer, a memorized 10 and 30-second pitch, and a 3-step consultative ask, drilled until automatic, before the next conference ticket is bought.

DO THIS FIRST

Build the rail

One locked offer he never improvises. A memorized pitch (10 and 30 second). A 3-step ask that ends in his own referral fallback. The in-room live demo as both proof and the thing that keeps him on rails. This is the keystone. It is Section 07, in full, with ready-to-use scripts.

THEN, AND ONLY THEN

Scale the rooms

Local rooms, podcasts, and conferences as participant and presenter. He is not in the rooms today and he converts in person, so rooms are the channel. But pouring rooms into a broken rail just burns rooms. Volume times zero is zero. Rail first, volume second.

The recommendation: build the rail this week, drill it daily, and do not buy a single conference ticket until the pitch is automatic. The market is real, the pricing is right, the commitment is made, and the one thing missing has moved from "a decision" to "a rail." That is a far better place to be than version 1 thought we were. It is a fixable, mechanical problem.

► Revenue Engine Maturity Score

This is a weakest-link diagnosis, not a report card. It scores the eight parts of the revenue engine so you can see where the engine actually breaks and fix that part first, instead of polishing the parts that already work.

HOW TO READ IT: THE FOUR LEVELS

L1

Absent or broken. Not there, or there but not working.

L2

Inconsistent or drifting. Exists but keeps changing or wobbling.

L3

Documented and operational. Written down and actually used.

L4

Fully built and mature. Solid, repeatable, runs on its own.

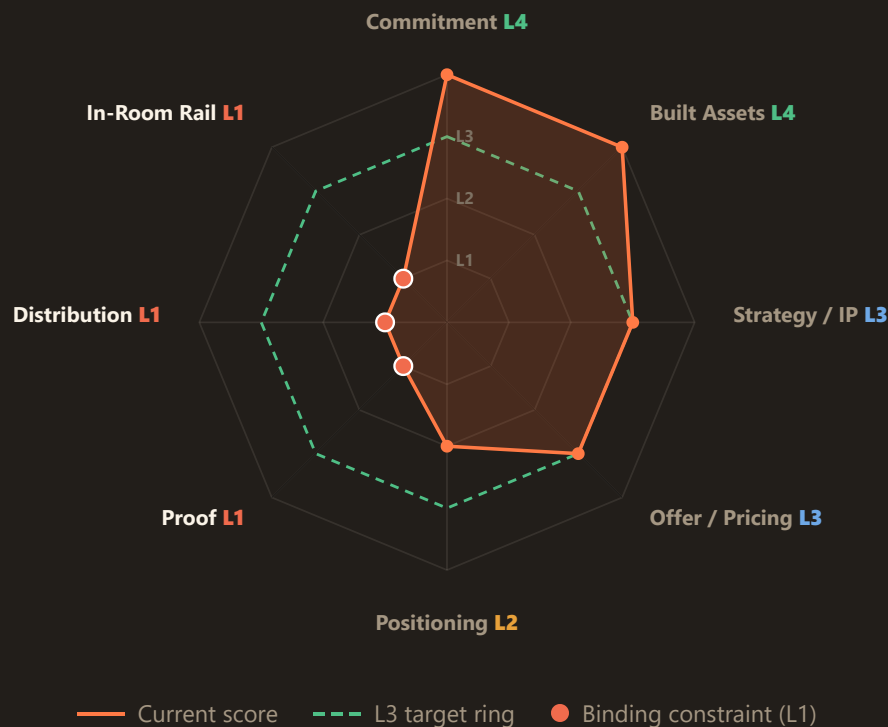
THE TARGET

The goal is simple: **no revenue-critical dimension below L3**. You do not chase L4 everywhere. You raise the binding (lowest) one first, then the next lowest, until nothing critical sits at L1 or L2.

WHY THE LOWEST SCORE IS THE ONE THAT MATTERS (THEORY OF CONSTRAINTS)

A business performs at its weakest link, not its average. A chain with seven strong links and one broken one still breaks at the broken one. That is why a business sells from its lowest score, not its highest: the engine can only run as well as the part that is failing. So the highest-value move is always to find the lowest score and raise it. Everything above it is already waiting on it.

REVENUE ENGINE, ALL EIGHT DIMENSIONS · CURRENT VS L3 TARGET

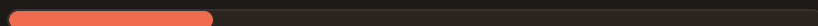


The dent points at the fix. The orange shape is where the engine is today; the dashed green ring is the L3 target. The whole shape pushes outward to L3 and L4 on top and right (commitment, assets, strategy, pricing) and collapses to the center on the lower-left, where three dimensions sit at L1: Proof, Distribution, and the In-Room Rail. The radar makes the weakest link visible at a glance, and the deepest part of the dent is where to start.

THE SAME EIGHT, RANKED WEAKEST-FIRST

In-Room Clarity &

Ask **BINDING 1ST**



L1 NO RAIL



TWO DIMENSIONS ARE TIED AT L1. HERE IS WHY THE RAIL IS BINDING FIRST.

Three dimensions sit at L1, and two of them are the real floor: he is not in the rooms (Distribution, L1), and when he is in front of anyone, he has no rail to convert them (In-Room Clarity and Ask, L1). They look like a tie, but they are not. The in-room rail is binding first. Rooms without a rail just leak: every conversation he walks into spills out before the offer is clear and before the ask is made, so the rooms are wasted. And it compounds, because a confused prospect cannot even refer him, so a leaking room poisons the next room too. Fix the rail first, then scale the rooms, then the L3 and L4 assets finally have something to sit on. (Founder Commitment, the v1 floor, has already moved from L1 to L4, which is why the constraint dropped to this pair.)

The full diagnostic is below, collapsed. Click any header to expand it, or use the jump nav. The keystone is Section 07, The Fix: Build the Rail, with ready-to-use offer, pitch, and ask scripts. It also includes a Proof Inventory (08), a Distribution Plan (09), and ROI-gated targets with a 30/60/90 (10).

01 Engagement Frame -- What Changed in v2

The question is the same. The inputs changed: the owner answered the questions only he could answer, and those answers re-rank the hypotheses.

THE QUESTION

Why does Catalyst Works generate so little consistent revenue despite heavy build and a sound strategy, and what is the single binding constraint to fix first to turn revenue on?

WHAT THE OWNER'S DISCOVERY ANSWERS SETTLED (THE INPUTS)

QUESTION ONLY THE OWNER COULD ANSWER	THE ANSWER	WHAT IT DOES TO THE DIAGNOSIS
Is this the primary business or a side project?	All in. Full-time, no fallback plan competing for his attention.	Removes the early binding precondition. Commitment is made.
What is the revenue target?	A clear recurring-revenue floor within 2 to 3 months, and a higher recurring target by year end. Path: cash now, then first retainer, then the floor. (Specific figures redacted in this sample.)	Gives the plan a number to reverse-engineer (Section 10).
What delivery model is the goal?	Fractional operations partner on retainer (end goal) > advisory only > done-for-you builds. Wants to keep his hands in builds to stay current.	Locks the offer ladder shape (Section 11).
Where does he actually convert?	In person. Not in BNI, Chamber, or owner rooms today. Months of trying to find the buyer online failed. "When they work with me, things go really well."	Names the channel (rooms) and the gap (he is not in them yet).
What is the self-selling gap?	~70% leave not knowing what he does (rambling); ~30% get it but he never asks. His own read: when he is unanchored, he loses them and himself.	This is the new constraint. The conversion rail.
Is the sales style the problem?	No. Consultative, never pushy, on purpose: "I prefer to walk people through, they sell themselves." This is an asset to preserve.	Fix is an external rail, not "be pushier."

THE HYPOTHESES, RE-RANKED ON THE NEW INPUTS

#	HYPOTHESIS	V1 STANDING	V2 STANDING
C	Founder focus / unmade commitment.	Root precondition	Closed. Commitment made. No longer binding.
F (new)	In-room clarity and ask: loses the room, never asks.	Not isolated	BINDING. The rail is the fix.
D	No demand engine reaching a warm audience.	Folded into execution	Real and next: he is not in the rooms (Section 09). Binding second.
A	No proof or credibility.	Downstream	Still downstream, now addressable via operator-as-proof (Section 08).
B	Positioning instability.	Storefront drift	Symptom of the same no-rail pattern: unanchored on the page as in the mouth.
E	No ICP precision or offer fit.	Solved on paper	Solved on paper; offer shape now confirmed by owner delivery rank.

WHAT THE OWNER ANSWERS DID · THE CONSTRAINT MOVED ONE DOMINO DOWN



One answer rewrote the diagnosis. Version 1 read the binding constraint as an unmade commitment. The owner's live answers closed that question (he is all in), which dropped the constraint one level down the chain to the thing hiding underneath it: the missing in-room rail. The diagnosis did what a diagnosis should, it updated when the primary source spoke.

WHAT "GOOD" LOOKS LIKE

- The diagnosis names ONE binding constraint, re-ranked on the new facts, not the old guess.
- The fix is a built thing he can use Monday: an actual offer, an actual pitch, an actual ask script, drilled.
- It preserves his consultative style instead of asking him to become someone he is not.
- It is honest that the rail is necessary but not sufficient: he also has to get in the rooms (Section 09) and hold the ROI line on spend (Section 10).

02 The Nine-Agent Audit, Re-Run on the Owner Answers

The five documented agents, re-run with the owner's live answers folded in. The headline change: the Culture and Energy agent, which in v1 flagged a divided owner, now reads a fully committed one, and the critical flag moves to the conversation itself.

Culture & Energy Agent RESOLVED

In an earlier read this was the critical agent: a divided owner whose attention was split. The owner's answers close it. Energy is now fully committed to Catalyst Works, full-time. The one watch-item: he is considering a roughly two-month skills-building program, a mild focus trade-off against all-in, flagged in Section 12. Otherwise, the split this agent once described is over. He chose the business.

Customer Outside-In Agent CRITICAL

Through the buyer's eyes, the picture is now sharper and worse than v1 knew. It is not only that the buyer was reached through the wrong channel (cold email, cold ads). It is that even when the buyer is in front of him, the buyer leaves not knowing what he does. About 70 percent walk away unable to say what he sells. A prospect who cannot describe what you do cannot buy, and, just as costly, cannot refer. The leak is at the first conversation, the exact place the business depends on most.

Hidden Factory Agent HIGH

The shadow work in v1 was building as a substitute for selling. With commitment now made, reframe it: the building was not avoidance of a decision, it was avoidance of the one activity he had no rail for. Re-skinning a website four times is the same act as rambling in a room, producing motion without ever landing one clear message. The factory ran hot because the clear, simple message it should have produced was never locked. Lock the message once (Section 07) and the factory has a product.

Financial Reality Agent CRITICAL

Cash in: today, inconsistent and well below where it should be. The owner gives a clear recurring-revenue floor within 2 to 3 months and a higher recurring target by year end (specific figures redacted in this sample). That is a clean, reachable number: a small handful of retainers (Section 10). The unit economics are not the problem. The first conversation is. Revenue equals conversations times clarity times ask times price times retention, and the business is losing the multiply at clarity and at ask. Both are inside the rail.

Systems Friction Agent HIGH

The missing system is no longer just a CRM. It is the conversational rail: a fixed sequence that carries an improv-prone speaker from "what I do" to "the ask" without losing the thread. He already built an external rail for his work, the AI operating system he runs his business on, precisely so he would not have to hold everything in his head. The friction is that he never built the same kind of rail for the sales conversation. The fix is to copy his own solution into the one place he never applied it.

AUDIT CONVERGENCE

With commitment resolved, the agents converge on a different point than v1. Customer Outside-In and Financial Reality both land on the first conversation. Hidden Factory and Systems Friction both land on the same missing thing: a rail. The owner is committed, capable, and converts once he is working with someone. The single place the chain breaks is the moment between meeting a buyer and starting work, and it breaks because that moment has no rail.

DO THIS

Stop building new assets (the factory is closed until a client is paying) and put this week's hours into the one artifact the audit converges on: the rail in Section 07. The evidence is the convergence itself, four of five agents trace to the same missing structure.

03 Strategy Timeline -- The Churn Was Never Indecision

The four public "generations" and the coherent fifth that lives in the research notebooks. v2 reads the churn through the new lens: it was never strategic indecision, it was an unanchored mind re-improvising the storefront, the same pattern that rambles in a room.

Gen 1 -- The Noise / Decision Problem Mar 2026

- **Thesis:** "You don't have an AI problem. You have a decision problem." Sells filtering and prioritization, not more AI ideas.
- **Right:** The challenger frame is excellent and on-voice. The signature line is a genuine wedge, backed by a real research spine (Hick's Law, Iyengar and Lepper, Chernev, Simon, McKinsey, IBM).
- **Wrong:** No prices, no concrete first offer. A philosophy, not yet a sellable thing.

Gen 2 -- Monetization Stack (generic ops) Apr 12, 2026

- **Thesis:** Drops AI entirely. "Identify the one hidden constraint slowing your business down." Six-product ladder, Signal Session at \$350.
- **Right:** A full offer ladder appears. Pricing gets concrete.
- **Wrong:** Identity whiplash. The AI wedge that differentiated Gen 1 is gone.

Gen 3 -- AI Governance "SHIELD" Apr 16, 2026

- **Thesis:** "Where AI policy becomes margin protection." SHIELD Assessment at \$3,500, Signal Session repriced to \$497.
- **Right:** Tighter, more premium, real buyer fear addressed.
- **Wrong:** Third distinct identity in five weeks, third price set.

Gen 4 -- Live Website Tiers May 2026

- **Thesis:** Diagnostic Sprint \$2 to 5K, Advisory Retainer \$3 to 5K per month, Implementation \$10K-plus.
- **Right:** The tier shape matches market benchmarks. The pricing is in-market.
- **Wrong:** The storefront drifts from the notebooks; the Signal Session alone has shown as \$350, \$497, then \$250.

GEN 5 -- THE COHERENT PLAN IN THE RESEARCH NOTEBOOKS

One ICP: professional-services owner-operators, 5 to 200 people, check-writers, found at BNI and the Chamber, explicitly not on X. **One outcome-first line:** "I help professional services firms find the margin they're losing to broken operations." **One clean ladder:** Signal Session \$497 to 997, SHIELD assessment \$3,500, Margin Diagnostic Sprint \$8,500, fractional retainer \$1,500 to 5,000 per month. **A discovery-call system** with live four-level maturity scoring. **A 30-day revenue sprint** with conversion math. **A real research base** (Ng's long-tail 1.7M businesses, Mollick's cyborg vs centaur, Blair Enns on niche pricing). The thinking converged long ago.

THE V2 REFRAME OF THE CHURN

v1 read the four re-skins as "building instead of deciding." With the commitment question now closed, that reading is incomplete. The deeper pattern is the same one that loses the room: a connection-seeing mind, given an open canvas and no rail, re-improvises instead of locking. Four website generations is rambling in pixels. The cure for the page is the cure for the mouth: lock one message, once, and stop re-opening the canvas. That is why the fix in this version is a rail, not a strategy.

04 Diagnosis -- Re-Ranked Issue Tree, Owner-Confirmed 5 Whys, Funnel Math

The core analytical work, re-run. The issue tree's break moves now that the owner has told us where he converts and where he loses people.

The issue tree (MECE): why is revenue zero?

BRANCH	IS THIS WHERE IT BREAKS?	VERDICT
Demand exists?	Yes. Ng's 1.7M-business long tail; market growing ~29% a year.	Not the break
Founder committed?	Yes. All in, full-time (owner-confirmed).	Resolved (was the early root)
Offer-market fit / ICP?	ICP precise; ladder matches benchmarks; delivery rank now owner-confirmed.	Solved on paper
Pricing?	\$2 to 5K sprint, \$3 to 5K/mo retainer all in-market.	Not the break
In the room with buyers?	Not yet. Not in BNI, Chamber, owner rooms. Converts in person but is not in the rooms.	Breaks (distribution, binding 2nd)
Clarity in the conversation?	No. ~70% leave not knowing what he does. He rambles.	BREAKS FIRST
The ask?	No. The ~30% who understand never get asked.	BREAKS (downstream of clarity)
Conversion once working together?	Strong. "When they work with me, things go really well."	Healthy
Proof / trust to close?	No client logos yet; operator-as-proof unpackaged.	Real, addressable (Section 08)

The break has moved. In v1 it sat at "reaching the buyer." The owner's answers split that node in two and add a third: he is not in the rooms (distribution), and even when he is, the conversation breaks at clarity, then at the ask. Conversion once he is actually working with someone is healthy, which is the most important new fact in the file. It means the fix is not "learn to sell." It is "fix the two feet of conversation between meeting someone and starting work."

5 Whys -- owner-confirmed, driven to the real root

- 1 Revenue is zero.** Why? Almost no one he meets becomes a client.
- 2 Why?** He gets in front of people but loses the room. About 70 percent leave not knowing what he does; the 30 percent who get it are never asked.

- 3 **Why do they leave not knowing what he does?** He has no locked, simple offer, so he improvises the explanation every time.
- 4 **Why does improvising fail?** His mind sees connections across domains and fires in every direction. Unanchored, the improv spirals into tangents and he loses his own thread. In his words: when he is unanchored, he loses them and himself.
- 5 **Why does he never reach the ask?** Because the ask lives at the end of a clear thread, and he never reaches clarity, so he defaults to "let's talk more."
- 6 **Why has this never been fixed?** Because he has been trying to fix it with discipline (try to be clearer, try to remember to ask) instead of structure. It is not a discipline problem.
- 7 **Root: an improv-prone, connection-seeing mind running the most important conversation in the business with no external rail. The ask-failure is downstream of the clarity-failure, and the clarity-failure is downstream of the missing rail.**

THE NON-OBVIOUS BRIDGE (HIS SUPERPOWER, TURNED INWARD)

The trait that makes him good at this work and the trait that loses him the room are the same trait. Cross-domain connection-spotting is the engine of a great diagnostic consultant, he sees the bottleneck others miss because his mind links things. Pointed at a client's problem, with the problem as the rail, it is a gift. Pointed at an open "so what do you do," with no rail, it is a tangent machine. You do not fix this by dulling the gift. You fix it by giving every important conversation a rail, so the connection-engine runs on a track instead of off-road. He already proved he can do this: he built an entire AI operating system to externalize the structure his work needs. The rail is that same move, applied to his mouth.

Value-driver tree -- exactly where the math breaks now

Revenue = Conversations x Clarity x Ask x Price x Retention. Plug in what the owner told us:

THE REVENUE CHAIN - IT BREAKS AT THE TWO MIDDLE LINKS



Revenue is a product, not a sum. Two of the five links are near zero: Clarity (about 70 percent leave not knowing what he does) and Ask (the ones who get it are never asked). Because the terms multiply, two near-zero links drag the whole result to near zero, no matter how healthy Price and Retention are. The good news hiding in the math: both broken links are fixed by the same one thing, the rail (Section 07). Conversations, the one amber link, is fixed by distribution (Section 09).

CONVERSATIONS

Low. He is not in the rooms yet (no BNI, Chamber, podcasts, conferences). Fixable by distribution (Section 09).

CLARITY

~30%. About 70 percent leave not knowing what he does. **The product loses most of its value here.** Fixed by the locked offer and pitch (Section 07).

ASK

~0 of the clear ones. He never asks. **The remainder zeroes here.** Fixed by the 3-step ask script (Section 07).

PRICE & RETENTION

Healthy. Pricing in-market; conversion once working together is strong. Not the problem.

This is the cleanest possible diagnosis: the two middle terms, Clarity and Ask, are both near zero, and both are fixed by the same artifact, the rail. The terms the rail does not fix (Conversations) are fixed by distribution. The terms that are already healthy (Price, Retention) need nothing. Every dollar of upside is gated behind one built thing.

Funnel evidence, re-read

ATTEMPT	RESULT	WHAT IT PROVES IN V2
Cold email (high volume)	Negligible reply, no clients	Wrong channel. He does not convert cold or online; he converts in person.
Cold email, second list (healthy open rate)	Negligible reply, no revenue	Even healthy deliverability fails: the buyer is not bought online.
Paid workshop (cold ad traffic)	No paid seats	Cold traffic to a trustless page converts at zero. Not the ads.
In-person conversations	~70% leave unclear; ~30% clear but unasked; those who work with him convert well	The signal. The channel that works is in-person; the leak is the unanchored conversation, not the channel.

Outside view -- still favorable

- **Pricing is in-market.** Fractional AI engagements run \$2 to 8K per month (light) to \$5 to 30K (full); the owner's \$3 to 5K/mo retainer target sits right inside.
- **The market is real and growing** (~29% per year; Ng's 1.7M-business long tail is the exact segment).
- **The durable wedge:** a sharp niche, an outcome-first promise (margin), and operator-as-proof (he runs his own business on AI agents). Those three together are a real wedge that the rail finally lets him state out loud.
- **The market-wide failure mode** is "can this person actually deliver?" answered by social proof. He has no client logos yet, which is why Section 08 leans on operator-as-proof until the first testimonials land.

DO THIS

Because the math zeroes at Clarity and Ask, and both are fixed by one artifact, point all effort at the rail (Section 07) first, then distribution (Section 09). Do not touch Price or copy; the value-driver tree shows those terms are already healthy, so work there returns nothing.

05 The Council Reruns -- What the New Fact Did to the Verdict

Five independent voices, re-run in premortem mode against the new fact: commitment is made. The job: re-rank the constraint, then premortem the new fix so we do not ship a convenient answer. Five rounds. No voice softens. No em dashes.

Round 1 -- the new fact enters: commitment is made

C

The Contrarian

Good, the precondition is gone. Do not celebrate. Removing the excuse exposes the wound underneath it. He is all in and still converts zero, because the moment he is in front of a buyer, he loses them. Commitment was never going to fix a mouth with no rail. v1 was hiding the real problem behind a decision that, it turns out, was already made.

F

First Principles

v1's load-bearing assumption was "the in-person motion converts if you run it." The new evidence breaks it. He has been in front of people, and 70 percent leave not knowing what he does. There is a hidden node between "in the room" and "closed," and it is clarity. The plan never named it because the plan never watched him talk.

O

The Outsider

From outside, a prospect who cannot say what he does after a conversation will not buy and cannot refer. That second part is the killer. Zero clarity equals zero word of mouth, so the distribution can never compound. Every confused conversation is a dead end, not a seed.

E

The Expansionist

The instinct will be "get in more rooms now that he is committed." Wrong order. Pour rooms into a broken rail and you burn the rooms. Build the rail first, then the same rooms that produced zero start producing. The rail is the multiplier; rooms are the volume. Sequence it.

X

The Executor

The pattern was always visible: four website re-skins is the same ramble in pixels. He cannot hold one message in his mouth or on the page. The earliest fix was never "decide," it was "lock one sentence and make it un-improvisable." That was true in March. It is true now.

Round 2 -- re-rank the constraint

With commitment demoted from root to resolved, two candidates remain: **distribution** (he is not in the rooms) and **conversion** (he loses the rooms he is in). Cross-review converges fast:

- **Conversion is binding first.** He can get into rooms relatively cheaply and quickly: a BNI seat, local events, open podcast pitch forms. But pouring traffic into a conversation that loses 70 percent at clarity and 100 percent of the rest at the ask wastes every room, and poisons the referral layer, because a confused prospect cannot refer.
- **Distribution is binding second.** Necessary, large, and next, but only valuable once the rail exists to convert what it brings.
- **The convenient answers stay dead.** Not the ads, not the price, not "no strategy." And now, also not "he is not committed."

Round 3 -- the owner-confirmed 5 Whys to the structural root

The Council drives the chain (full version in Section 04 and the transcript): no locked offer leads to improvising, improvising spirals because of how his mind connects, the spiral loses the thread, the lost thread never reaches the ask. The voices agree on the crucial distinction: **this is a structure problem, not a discipline problem**. Telling him to "be clearer and remember to ask" has failed for months because it asks willpower to do a job only a rail can do.

Round 4 -- premortem the new fix (the rail)

PREMORTEM A -- "WE BUILT THE RAIL AND HE STILL RAMBLED"

He had the scripts but never drilled them, or abandoned the rail mid-conversation when a connection sparked. **Mitigation:** drill out loud daily until automatic; keep it to three steps so it fits working memory; make the live demo (Step 2) a physical action he can always return to when he feels the spiral start. The demo is the rail's anchor.

PREMORTEM B -- "THE RAIL KILLED THE WARMTH THAT CLOSES"

Over-scripting suppressed the consultative style that actually wins. **Mitigation:** the rail is a skeleton, not a script-read. It locks only three things, the opening (what I do), the middle move (the live demo), and the close (ask plus referral). Between the rungs he is free to be consultative. Rails on the turns, freedom on the straights.

PREMORTEM C -- "RAIL FIXED, BUT HE NEVER GOT IN ENOUGH ROOMS"

ROI-gated travel got read as "stay home." **Mitigation:** local rooms are free (BNI, Chamber) and podcasts are remote and free. Only conferences cost money, and those are ROI-gated (Section 10). There is no budget excuse to be roomless.

PREMORTEM D -- THE EARLY PRECONDITION, RE-TESTED

"He steps back from the business after all." This no longer fires. The owner is all in, full-time, with no fallback plan competing for his attention. The early binding precondition is closed, and the Council records it as closed rather than carrying it as a live risk.

CHAIRMAN SYNTHESIS -- CONVERGENCE ~93%

The Council converges: with commitment resolved, the binding constraint is the **in-room clarity-and-conversion rail**, the missing external structure (one locked offer, a memorized pitch, a three-step ask) that lets his connection-seeing mind sell instead of wander. Distribution is the necessary second move, not the first. The fix is a built artifact, drilled to automatic, with the live demo as its anchor and his consultative style preserved between the rungs. The convenient answers, including v1's own "unmade commitment," are all retired with evidence.

06 The Binding Constraint -- and Why It, Not the Alternatives

THE BINDING CONSTRAINT

Catalyst Works converts well once the owner is working with someone, and the owner is now fully committed. The chain breaks at the first conversation: he gets in front of a buyer and loses the room, because he has no locked, simple offer to anchor to. He improvises, the improv spirals into tangents (his connection-seeing mind with no rail), he loses the thread, and he never reaches the clarity that would make the ask natural. The constraint is the missing external rail: one locked offer, a memorized pitch, a three-step consultative ask. Distribution (getting into rooms) is the necessary second move, gated behind the rail.

SIZING THE CONSTRAINT -- WHAT THE BROKEN RAIL COSTS (METHOD SHOWN, PRIVATE FIGURES REDACTED)

A Margin Diagnostic should put a number on the margin being lost, so the real report sizes it two ways and holds the estimate deliberately conservative. The figures are redacted in this sample; the method is not.

1. Forgone recurring revenue. The owner has a recurring-revenue floor he says is reachable within about 90 days once the rail exists. Until it is built, that floor stays near zero. So the missing rail costs the **entire floor, every month**, in recurring revenue not switched on, annualized across a full year.

2. The per-conversation leak. Once he is in rooms (a BNI seat plus one to two events a week), a realistic cadence is 8 to 12 qualified ICP conversations a month. Today about 70 percent leave not knowing what he does and the roughly 30 percent who get it are never asked, so the effective yield is near zero. One converted retainer is worth a full year of recurring revenue over its life. Every month of good rooms run without the rail is therefore about **one full-lifetime retainer walking out unconverted**.

Assumptions, so the number is honest: the 8 to 12 conversations a month is a forward estimate, not yet observed, because he is not in the rooms yet; the close rate is held deliberately conservative; retainer life is assumed at a conservative 12 months; the floor and retainer range are the owner's own stated numbers (redacted in this sample). The point is not the exact figure. It is the ratio: the cheapest fix in this report, a week of drilling a script, is gating the single most expensive thing in the business.

The full evidence chain

LINK	EVIDENCE
Commitment is made (early root closed)	Owner discovery: all in, full-time, no fallback plan competing for his attention.
He converts once working together	Owner: "When they work with me, things go really well; I just never got a chance to show people what I can do."
He loses the room at clarity	Owner: ~70% leave not knowing what he does, because he rambles.
He never reaches the ask	Owner: the ~30% who get it are never asked; he defaults to "let's talk more."
The cause is structural, not a courage gap	Owner: when he is unanchored, he loses them and himself. Consultative, non-pushy style is deliberate and works once clarity exists.
He can build rails	He runs his entire business on a self-built AI operating system, an external rail for his work. He has never built one for the conversation.
He is not in the rooms yet	Owner: not in BNI, Chamber, owner rooms; four months of online prospecting failed; converts in person.

Why each alternative is real but not binding

- **Commitment (C):** was the v1 root. Now resolved by the owner's own answer. Retired.
- **Distribution (D):** real and binding second. He must get in the rooms (Section 09). But rooms without the rail leak, so the rail comes first.
- **Proof (A):** real, downstream, and addressable now via operator-as-proof (Section 08). Not binding alone.
- **Positioning (B):** the storefront drift is the same no-rail pattern. Fixed as a byproduct of locking the offer.
- **ICP / fit (E):** solved on paper; delivery rank now confirmed by the owner. Not a suspect.

DOGFOODING NOTE

Catalyst Works' governing principle is "the lens follows the constraint." The constraint here is not analytical (we know what to do), not financial (price is fine), and no longer motivational (he is all in). It is structural: the most important conversation in the business runs with no rail. The same sentence the company would say to a client fits: you do not have an AI problem, you have a decision problem, and the decision is which one sentence you will say every time so people finally know what you do.

07 The Fix: Build the Rail (the keystone deliverable)

This is the headline deliverable, and the rail is how the keystone gets installed: it takes the one clear message (constraint and outcome first, AI as the method) and locks it into a form he cannot ramble out of. Four parts: a locked offer, a memorized 10 and 30-second pitch, a 3-step consultative ask script, and the in-room live demo that anchors all of it. Ready to use. Drill it out loud daily until it is automatic. The rule for all four: rails on the turns, freedom on the straights. Lock the opening, the middle move, and the close. Be yourself between them.

Part 1 -- The locked offer (one sentence, never improvised)

One sentence he says the same way every time, so the 70 percent finally know what he does. It names the role, the buyer, the method, and the recurring relationship (the retainer that is the actual product, per his delivery rank).

THE LOCKED ONE-LINER -- MEMORIZE WORD FOR WORD

"I'm a fractional operations partner for small businesses. I find what's slowing the business down, fix what matters most first with the right tools, AI only when it fits, and stay on to run the systems with you."

Why this sentence: "fractional operations partner" names the end-goal offer (the retainer) without the savior tone; "what's slowing the business down" plus "fix what matters most first" is the constraint-first, prioritization promise that is already his best wedge, and it keeps the triage differentiator without claiming there is only one magic fix; "with the right tools, AI only when it fits" keeps the method tool-agnostic, sometimes that tool is AI and often it is not, which is the wedge everyone else selling AI is missing; "stay on to run the systems with you" is the retainer and the partnership in a single clause, a partner, not a takeover. He keeps his hands in the build, exactly as he asked. This sentence is the rail's first rung. He says it, then stops talking.

Part 2 -- The memorized pitch (10 and 30 second)

Built on the version 1 voice-winner (Pitch 2, the Challenger, voice 93). The 10-second is the hook. The 30-second adds the operator-as-proof and turns toward the ask. Both memorized, both his.

The 10-second pitch (the hook)

Voice 92

"You don't have an AI problem, you have a constraint problem. I find the one thing slowing your business down and fix it with the right tool. Sometimes that's AI, often it's not. Everyone else is selling AI. I'll tell you when it isn't the answer."

The 30-second pitch (hook + proof + turn to the ask)

Voice 92

"You don't have an AI problem, you have a constraint problem. I find the one thing slowing your business down and fix it with the right tool. Sometimes that's AI, often it's not. I run my own company on AI where it earns its keep, so I know where it helps and where it's just hype. Work with me and I find your biggest constraint, fix it with whatever actually works, and stay on to run it with you. Want me to show you what I'd look at in yours?"

THE SPIRAL RESCUE (HIS SAFETY MOVE)

When he feels the connections start firing and the thread slipping, he does not try to think his way back. He says one line and goes to the demo: *"Let me make that concrete."* That sentence converts a spiral into Step 2 below. The live demo is a fixed, physical action, the opposite of open improv, so it is the safest place on the rail. The thing that rescues him from the ramble is also the thing that proves he can deliver. Same move, two jobs.

Part 3 -- The 3-step consultative ask script (the rail itself)

Three rungs. Each rung is one move with one exit condition, so when the mind wants to wander there is always a next handhold. It preserves the consultative style: he is still walking them through, they still sell themselves. It just guarantees he reaches the ask, and turns every no into a referral.

1 ANCHOR -- say the locked one-liner, then stop.

The single job of Step 1 is that they now know what he does. This is the fix for the 70 percent. He says the sentence and goes quiet, which is the hardest and most important part.

SAY

"I'm a fractional operations partner for small businesses. I find what's slowing the business down, fix what matters most first with the right tools, AI only when it fits, and stay on to run the systems with you."

EXIT WHEN

They respond, ask a question, or name a problem. Do not add a second sentence first.

2 SHOW -- offer the live diagnostic, let them sell themselves.

This is the consultative heart and the operator-as-proof in one move. He offers to look, in the room, at their actual business. It keeps him on rails (a concrete action), it is the proof he can deliver, and it is where they talk themselves into the problem.

SAY

"Want me to show you? Give me your website, or tell me your biggest time-sink, and I'll tell you the one thing I'd fix first."

Then run the 60-second scan on their site, or talk through their bottleneck out loud. One concrete insight is enough. Resist the urge to give the whole diagnosis for free; one insight earns the next step.

EXIT WHEN

They have seen one specific, useful thing about their own business and are leaning in.

3 ASK -- make the ask, then the referral fallback.

This is the fix for the 30 percent. The ask is soft and consultative, his style, but it is always made. And the no is never wasted: it converts to a warm lead that feeds distribution (Section 09).

SAY (THE ASK)

"Here's what working together looks like: I come in, find the one thing to fix first, and we install it, then I stay on to run it with you. Want to put 30 minutes on the calendar to go deeper?"

SAY (IF NOT NOW, THE REFERRAL FALLBACK)

"No problem, it's not for everyone. Who's one person you know who's drowning in this kind of thing?"

EXIT WHEN

A meeting is booked on the spot, or a name is given. Either one is a win. Both feed the pipeline.

Part 4 -- The in-room move: operator-as-proof, live

The demo is Step 2, and it is the single most important physical habit to build, because it does three jobs at once. It is **proof** (here is a real problem, here is the tool I built, here is the result), it is the **consultative close** (they see their own leak and sell themselves), and it is the **steadying anchor** (a fixed action he returns to whenever the thread slips). Tools for the live demo, in order of reach for: the 60-second website scan at catalystworks.consulting/scan; the report he is reading right now, handed over as a sample deliverable; and a 60-second walkthrough of his own business running on AI agents. He carries all three and uses whichever fits the room.

HOW TO DRILL IT (SO IT ACTUALLY STICKS)

Out loud, daily, for two weeks before the first real room. The one-liner and the 10-second pitch to automatic first (he should be able to say them woken from sleep). Then the 30-second. Then run all three rungs of the ask against an imaginary prospect, including the referral fallback, which is the rung he will most want to skip. The bar is not "I know it." The bar is "I cannot get it wrong." That is what a rail is.

08 Proof Inventory -- Operator-as-Proof

He has no client logos yet. That is the honest starting point. But he is not without proof, he has a different kind, and it is arguably stronger for this buyer than a testimonial: he runs his own business on the exact thing he sells. The frame for every piece of it is the same honest sentence: here is a real problem, here is the tool I built, here is the result. True whether the problem was his or a client's.

The four proof assets, ready to deploy

1. The AI operating system he runs his own business on **STRONGEST**

He runs his business on a self-built agent system. Each subsystem is a complete proof story on its own: a real problem he had, the tool he built to fix it, and the result. Content production, lead research, the diagnostic scanner, the production pipeline that built this very report. No competitor in his market can show a prospect "here is me, doing to my own business exactly what I am proposing to do to yours." This is the demo that belongs in Step 2 of the ask.

2. This report, handed over as a sample deliverable **DEMONSTRABLE**

This self-analysis is a working example of the Margin Diagnostic Sprint he sells. He can hand it to a prospect and say "this is what I produced for my own business; this is the depth you get." It is proof of the thinking, the rigor, and the format, before a single client has paid. The deliverable is the brochure.

3. The live in-room diagnostic **EARNs TRUST IN 60 SECONDS**

The 60-second website scan, run on the prospect's own business, in the room. It turns an abstract claim into a specific, true observation about their company. Proof that he can find the leak, delivered before any money changes hands. This is the operator-as-proof move that doubles as the consultative close.

4. 15 years of Fortune-100 HR credibility **CONTEXT, FRAMED CORRECTLY**

Roughly 15 years in HR, about 10 inside a Fortune 100. This frames the perspective, an operator who has been inside how large organizations actually adopt and resist change, it is not the current identity. The angle is operator-turned-installer, not "HR professional" and not "trainer." Used as background that explains why he reads organizational friction well, not as the headline.

THE HONEST SEQUENCING

Operator-as-proof carries him to the first one or two paying clients. After that, the proof model upgrades fast: the 30/60/90 (Section 10) is built to capture a documented outcome and a testimonial from the first engagements, which converts the proof from "here is what I did for myself" to "here is what I did for a business like yours." Operator-as-proof is the bridge, not the destination. It is what gets him across before the client logos exist.

09 Distribution Plan -- Get in the Rooms

He is not in the rooms today, and he converts in person. That single pairing makes rooms the channel, the whole channel. Cold and online failed for four months precisely because they are not where he wins. The rail (Section 07) is what makes each room pay; this is how he fills the rooms. A podcast and conference target list is already prepared; the specific picks below come from it.

Three lanes, in order of cost and speed

Lane 1 -- Local rooms (free, weekly, start now) Now

- Take the local BNI seat the strategy already identified. Weekly, structured, built for referrals, which the Step 3 fallback feeds directly.
- Chamber of Commerce and professional-association luncheons. The documented buyer (professional-services owner-operators) is in these rooms, not online.
- Cost: near zero. There is no budget reason to be roomless while this lane exists.

Every local conversation runs the rail. Every no becomes a referral.

Lane 2 -- Podcasts (remote, free, borrowed audiences) Weeks 2 to 12

- Guest on shows his buyers already hear. Remote, recorded properly (Riverside-grade, not video calls), so each appearance becomes reusable content.
- Prepared wedge target first: Everyday AI (open pitch form, large SMB-operator audience). Then, gated one at a time: Small Business Big AI, AI for Business Owners, The AI Hat, AI for Entrepreneurs, Entrepreneurs on Fire.
- Discipline from the prepared plan: gate every next pitch behind a prior confirmed booking. One at a time, no shotgun. The conversion landing page must be live before pitch one.

Soft meeting-ask at the end of each appearance routes to the scan, which feeds the rail.

Lane 3 -- Conferences (phased ladder, ROI-gated) Months 2 to 6+

- **NOW: attend and network.** Cheapest rung. Walk the room, work the rail in hallway conversations. Start with a nearby, low-cost event before any travel.
- **BETTER: speak or join a panel.** Earn the stage as the pitch solidifies. Higher leverage: a talk is a room of prospects plus a reusable recording. Prepared targets: Utah SMB Summit (Oct 14, 2026), Silicon Slopes Summit (Feb 2027), SHRM AI+HI Project, UNBOUND by HubSpot, Small Business Expo, MountainWest Capital Network.
- **LATER: a booth.** Only once the ROI is proven. Booths are the most expensive rung and earn their place last.
- **The trip-ROI bar (every trip, full numbers in Section 10):** floor is 3x booked revenue (or 10x qualified pipeline at a 30% close assumption); target is 5x closed within 90 days, measured over a 90 to 180 day window with a day-30 pipeline checkpoint. Go only if at least 3 ICP-fit meetings are booked in advance, or there is one realistic shot at \$3k-plus of work. Skip cold networking with no ICP present.

Travel is justified by booked revenue and weighted pipeline, not by attendance. No trip is a "branding" trip.

THE NON-OBVIOUS BRIDGE: THE RAIL AND DISTRIBUTION ARE ONE FLYWHEEL

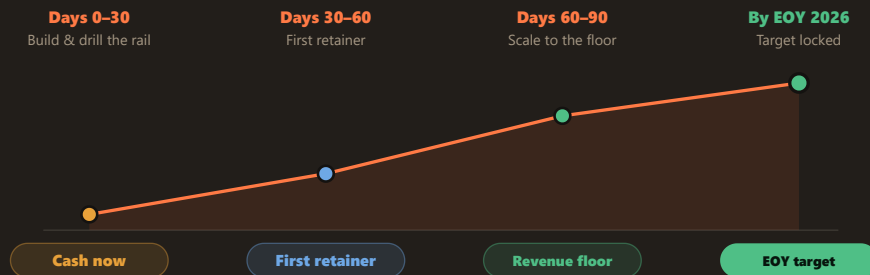
The Step 3 referral fallback ("if not you, who do you know?") is what links the two halves. Every room either converts or refers. A converted room is revenue; a referred room is the next room, warm. So the rail does not just close the room in front of him, it generates the next one.

Distribution without the rail leaks; the rail without distribution starves; together they compound. That is why the order is rail first, then pour the rooms through it.

10 Targets & ROI-Gated Economics -- the 30/60/90 to the Floor

The owner's numbers, reverse-engineered into a plan. A clear recurring-revenue floor within 2 to 3 months, and a higher recurring target by year end. Path: cash now, then the first retainer, then the floor. (Specific dollar figures are redacted in this sample.) Every dollar of spend is ROI-gated against researched benchmarks, not limitless and not miserly.

THE 90-DAY CLIMB TO THE FLOOR · THEN THE EOY TARGET



Two revenue lines, one climb. Cash from diagnostics and builds (Line A) funds the runway in the first 30 days while the recurring line (Line B) is built: the first retainer around day 30 to 60, a small handful of retainers by day 90 for the recurring-revenue floor, and a clear line of sight to the higher end-of-year target. The whole target at floor is a few relationships.

The simple math (the actual target is small)

THE RECURRING-REVENUE FLOOR

A small handful of retainers. That is the entire target. A few relationships.

THE END-OF-YEAR TARGET

The difference between the floor and the year-end target is one more retainer.

CASH NOW (THE BRIDGE)

One-off diagnostics, DFY builds, and workshop tickets produce immediate cash and feed the retainer pipeline. Runway, not recurring revenue.

THE LADDER (OWNER DELIVERY RANK)

Fractional operations partner retainer (end goal, the product) > advisory-only > DFY builds. He keeps his hands in builds to stay current. Front door is a paid diagnostic.

The reason this target is reachable: it is small. The whole business at floor is a few relationships. The constraint was never that he needed hundreds of leads. It was that he could not convert the few conversations he had. Fix the rail, get in a handful of rooms a week, and a few retainers is a quarter's work, not a miracle.

THE OTHER SIDE OF THE MATH: THE COST OF WAITING

The small target has a mirror, the cost of delay. Every month the rail stays unbuilt holds the entire recurring-revenue floor near zero, a full year of that floor not switched on, or roughly one full-lifetime retainer walking out of each month of rooms unconverted (full assumptions in Section 06). Small target, large cost of waiting. Both point the same way: build the rail this week.

Two revenue lines, kept separate (do not conflate)

The plan runs two distinct money streams. Mixing them hides the truth, so they stay on separate lines all the way through.

LINE A -- WORKSHOP / PROJECT CASH

Transactional. Workshop tickets, paid diagnostics, DFY builds. Lumpy, one-off, funds runway and feeds the pipeline. This is NOT recurring revenue and is never counted toward the recurring target.

LINE B -- RETAINER REVENUE (THE TARGET)

Recurring. Fractional and advisory retainers, monthly. This, and only this, is the recurring target. A small handful of these is the whole business at floor.

The workshop as a repeatable cash + proof + lead engine (modeled honestly)

The workshop is not just a one-off. Modeled as an engine, the upside is real: **20 to 30 seats at a modest ticket is a few thousand dollars per workshop**. At a weekly cadence that approaches the recurring-revenue floor on Line A cash alone, while every workshop also produces testimonials (proof) and a room of warm prospects (leads for Line B retainers). One event, three returns.

THE HONEST CAVEAT (STATE IT PLAINLY)

Filling 20 to 30 seats is the *exact* constraint the workshop after-action review already identified: an earlier event underfilled badly despite paid ad traffic. So do NOT bank the floor on weekly workshops yet. The plan is: run ONE workshop, prove he can actually fill 20 to 30 seats now that the pitch-rail, the rooms, and operator-as-proof exist, and only THEN scale toward weekly cadence. Weekly is the upside once attendance is cracked, not an assumption in the base plan. The base plan hits the recurring target on retainers (Line B); the workshop engine is the accelerator, earned by proof.

ROI rules for spend (researched benchmarks, locked)

Why the floor sits where it does: **founder-delivered consulting like this runs a very high gross margin** (near-zero cost of goods). The textbook "2:1 equals break-even" rule assumes about 50 percent costs and does not apply here. At 90 percent margin, a 3x revenue return is about \$1.70 of net profit per \$1 spent, so 3x is a genuine floor with real profit behind it, not break-even. And because B2B professional-services deals take **100-plus days to close** (Abstrakt / Cleanlist 2026), same-event or same-month cash is the wrong yardstick; the right one is a 90 to 180 day attribution window with a day-30 pipeline checkpoint.

SPEND	FLOOR (GO / NO-GO)	TARGET	KILL	BENCHMARK ANCHOR
Conference / event trip	3x booked revenue, OR 10x qualified-pipeline value at a 30% close assumption	5x closed revenue within 90 days	Skip cold networking with no ICP present	4.5:1 average well-run trade show; 5:1 = Fortune-500 top quartile
Paid ads	3x ROAS	5x ROAS	Under 2x at scale = kill	3 to 6x ROAS, professional services (Digital Bloom 2025)
July workshop (exception)	Deliberately break-even or small loss. It is the proof phase.		Judge on attendees + testimonials + pipeline, not a multiple	Return is the testimonials + videos that fuel August

CONFERENCE GO/NO-GO (BEFORE ANY TICKET)

- **Go** only if at least 3 ICP-fit meetings are booked in advance, OR there is one realistic shot at \$3k-plus of work in the room.
- **Measure over 90 to 180 days**, not same-trip, with a day-30 pipeline checkpoint (estimated pipeline x 30% close should already clear 3x trip cost).
- Log every substantive conversation same day (name, company, pain, deal-size estimate, next step), tagged to the event for 180-day attribution.

PAID ADS GO/NO-GO (BEFORE ANY SCALE)

- Run a **\$100 to \$200 test first**. Only scale if it hits at least 2.5x (test batches run inefficient; full scale should improve).
- Kill any campaign under 2x at scale. The July workshop is the one exception: break-even by design, measured on proof, not ROAS.

The 30/60/90, reverse-engineered (two lines tracked separately)

Days 0 to 30 -- Build and drill the rail, enter the first rooms Rail + Line A cash

- **Build and memorize the rail** (Section 07): locked offer, 10 and 30-second pitch, 3-step ask. Drill out loud daily to automatic. This is the gate on everything else.
- **Enter Lane 1 and Lane 2:** take the BNI seat, attend 1 to 2 local low-cost events (attend-and-network tier), submit the one wedge podcast pitch. Conversion landing page live first.
- **Run the rail in every conversation.** Line A goal: land 1 to 2 paid diagnostics or a DFY build (\$1.5 to 8.5k) for immediate cash.
- **Run ONE workshop** to test whether 20 to 30 seats can be filled now that the rail and proof exist. July ads for it are break-even by design; judge it on attendees, testimonials, and pipeline.

Goal by day 30: rail automatic; 4 to 7 real discovery conversations; Line A cash from 1 to 2 diagnostics; one workshop run and seat-fill measured.

Days 30 to 60 -- Convert, capture proof, first retainer Line B: first retainer

- **Convert a diagnostic into the first retainer** (advisory or fractional). Line B target: the first one to two retainers.
- **Capture the first documented outcome and testimonial.** This upgrades the proof model from operator-as-proof to client-proof, and is also the workshop engine's fuel.
- **Record the first podcast** (if the wedge booked) and run the repurposing chain. Pursue one speaking or panel slot at a nearby event.
- **If the day-30 workshop filled,** schedule a second; only consider cadence once a single one demonstrably fills. Line A only.

Goal by day 60: Line B first retainer landed; 1 to 2 testimonials captured; first appearance aired; workshop seat-fill answered yes or no.

Days 60 to 90 -- Scale to the floor Line B: the floor

- **Convert to a small handful of retainers** for the recurring-revenue floor on Line B. With proof now in hand, the ask gets easier and the referrals start landing.
- **First conference trip, ROI-gated:** attend-and-network or a speaking slot, only after the go/no-go clears (3 ICP meetings booked, or one realistic \$3k-plus shot). Floor 3x booked / 10x pipeline; target 5x closed in 90 days; measured to 180.
- **Scale paid ads only on a campaign that cleared the test** (2.5x test, 3x floor at scale), never to create demand from zero. Workshop cadence (Line A) scales only if seat-fill proved out.

Goal by day 90: Line B at the recurring-revenue floor; clear line of sight to the higher end-of-year target; Line A workshop engine either proven (scale it) or paused (do not bank on it).

Top 5 actions, in order

1. **Build the rail and drill it to automatic** (Section 07). Offer, pitch, ask. This week. No conference ticket until it is automatic.
2. **Take the BNI seat and get into 1 to 2 local rooms a week.** Free, immediate, the right buyer.
3. **Run the rail live and land 1 to 2 paid diagnostics** (Line A cash), then convert the first to a retainer (Line B recurring).
4. **Run one workshop to test seat-fill** and capture the first documented outcome and testimonial (proof + the workshop engine's fuel).
5. **Hold the ROI line on spend:** July ads / workshop break-even by design; paid campaigns tested at \$100 to \$200 first (scale only if 2.5x-plus); every conference trip clears the go/no-go (3 ICP meetings or one \$3k-plus shot) and the 3x-floor / 5x-target bar, measured over 90 to 180 days.

11 Offer & Positioning -- Lock It to the Owner's Delivery Rank

The offer shape is now confirmed by the owner's own delivery preference, not inferred. The job is subtraction plus locking, not reinvention.

LOCKED POSITIONING HEADLINE

"Fractional operations partner who finds your biggest constraint and fixes it, with AI when it fits." This is the one-line positioning the whole report points to. The role is named as an operations partner, not an AI vendor, and the wedge is constraint-first: AI is a tool he reaches for only when it fits, and he will say so when it does not. It leads the site, the bio, and every room.

HYPOTHESIS TESTED: RETURN TO THE ORIGINAL CORE (VALIDATED)

The owner's hypothesis is to return to the company's original core: **"we find the one thing holding your business back and fix it with the right tool, and sometimes that is AI and often it is not."** The evidence validates it. Gen 1, the constraint-first framing that put the business problem before the AI, was the strongest and most on-voice the business ever produced (Section 03), and the only one that combined a sharp wedge with a real research spine. Every drift away from it (generic ops, governance, build-once product) traded a differentiated message for a more crowded one. Constraint and outcome lead; the right tool is the method, AI is one tool and never the headline, and he is willing to say out loud when AI is not the answer. This is not a new positioning, it is the recovery of the best one the business already had, now locked so it stops drifting. The same message must read identically in person, on the site, and in every pitch.

ONE ICP

Utah-first professional-services owner-operators, 5 to 50 people (extend to 200), \$1M to \$20M, check-writers, AI adoption stalled. Found at BNI, the Chamber, and association luncheons, not on X.

ONE OUTCOME, ONE LOCKED SENTENCE

The locked one-liner from Section 07: "I'm a fractional operations partner for small businesses. I find what's slowing the business down, fix what matters most first with the right tools, AI only when it fits, and stay on to run the systems with you." Outcome-first, operations-partner role, retainer baked in. This replaces the four drifting storefront messages.

ONE OFFER LADDER (OWNER DELIVERY RANK, TOP IS THE PRODUCT)

THE OFFER LADDER · THE RETAINER IS THE DESTINATION



Every rung points up to the retainer. Free magnets feed a paid diagnostic (cash and the front door); the diagnostic leads to a sprint or build that generates the documented proof; and proof earns the recurring fractional operations partner retainer, which is the actual product. Advisory-only sits between the build and the retainer for prospects who want his judgment without the build. Three to four retainers is the entire floor.

RUNG	OFFER	PRICE	ROLE
Lead magnets	60-second scan + free worksheet	Free	Feed the front door
Front door (cash now)	Paid diagnostic / Signal Session	\$497 to 997, up to \$3.5k	Paid diagnostic conversation, immediate cash
Core (proof engine)	Margin Diagnostic Sprint / DFY build	\$1.5k to 8.5k	Generates the documented outcome and keeps his hands in builds
The product (end goal)	Fractional operations partner retainer	\$3,000 to 5,000 / mo	The recurring revenue. A few of these is the whole target.

Advisory-only sits between DFY and the full fractional retainer, the owner ranks it above DFY but below the retainer; offer it when a prospect wants his judgment without the build. The retainer is always the destination.

WHAT TO KILL

- The white-label audit tier (\$497 / \$1,200 a year). No buyer, pure build.
- A dormant secondary payment link, live but pointed nowhere.
- The competing positionings (speed wedge, generic ops, build-once product as the headline). Keep the build as a rung, not the front message.

- Any new asset until a client is paying. The factory is closed until the rail is producing.

THE NON-OBVIOUS BRIDGE: THE OFFER IS THE SAME SHAPE AS THE DIAGNOSIS

Notice that the locked offer and the way this report was produced are the same motion. He sells "find the one thing, install the fix, stay on to run it." This report found the one thing (the rail), specified the fix (Section 07), and the 30/60/90 is the staying-on. He is, quite literally, his own first case study for the offer he sells. That is not a coincidence to hide. It is the pitch.

12 Risks & the "Should It Continue?" Question (now answered)

THE V1 QUESTION IS CLOSED

Version 1 ended on a conditional: continue only if the owner commits 90 concentrated days. He has committed, fully and indefinitely, not 90 days but all in. So the question is no longer "should it continue." It is "what could still kill it now that commitment is not the risk." The risks below are the real ones that remain.

1 The rail gets built but not drilled (highest)

He writes the scripts, feels good, and never drills them to automatic, so under pressure he reverts to improv and rambles anyway. Mitigation: out-loud daily drilling for two weeks before the first real room; the bar is "I cannot get it wrong," not "I know it." The live demo is the anchor he returns to when the thread slips.

2 Over-scripting kills the warmth

He runs the rail so rigidly it suppresses the consultative style that actually closes. Mitigation: the rail locks only three points; between them he is free. Rails on the turns, freedom on the straights.

3 Roomless

He fixes the rail but stays at his desk, because in-person is uncomfortable and building is not. Mitigation: local rooms are free and weekly; there is no budget excuse. Distribution is a calendar commitment, not a spend decision.

4

ROI indiscipline on spend

Conference tickets and ads get bought on hope, not on a target. Mitigation (Section 10): conferences clear a go/no-go (3 ICP meetings or one \$3k-plus shot) and a 3x-floor / 5x-target bar measured over 90 to 180 days; ads tested at \$100 to \$200 first and killed under 2x at scale; the July workshop break-even by design.

5

The build-skills program splits focus

The owner is considering a roughly two-month program to accelerate build expertise. Worthwhile, but a mild trade-off against all-in selling in the exact window the 30/60/90 needs. Mitigation: sequence it after the first retainers, or cap its weekly hours so it does not steal the room time.

THE HONEST READ

Every risk here is mechanical and inside the owner's control. None of them is "the market," "the price," or "the strategy," and none is "is he committed." That is the good news here: the problem got smaller and more concrete as the diagnosis sharpened. An early read worried whether there was a business at all. This one knows there is, and knows the single thing standing between it and its recurring-revenue floor is a rail he can build this week.

13 Deliverable QA -- This Report as a Product (re-scored)

The second bird. If Catalyst Works sells an \$8,500 Margin Diagnostic Sprint, this document is the product. Re-scored for v3, which added the last thing the v2 QA flagged as missing: a dollar figure on the cost of the constraint.

Scorecard

DIMENSION	V1	V3	READ
Analytical depth	8.5	9 / 10	The reframe on new evidence, re-ranked issue tree, owner-confirmed 5 Whys, and five council rounds show the diagnosis updating under fact. Diagnosis that revises itself is stronger than diagnosis that defends itself.
Evidence rigor	9	9.5 / 10	Now anchored to primary-source owner answers, not just documents. The v1 hypothesis was corrected by the owner's own words, and the correction is shown, not hidden.
Clarity for the buyer	8	9 / 10	Plain-English primer, one-sentence verdict, the keystone fix up front and marked, and now a dollar figure on the cost of inaction in the 60-second summary. Still dense in the deep sections.
Design / client-grade feel	8.5	8.5 / 10	Same dark editorial system, plus a dedicated rail component and ready-to-use script boxes. Still not a branded PDF export.
Actionability	9	9.5 / 10	This is the big jump. v1 ended on a decision; v2 ships the actual offer, pitch, and ask script, drillable Monday, plus a numbers-backed 30/60/90. A client could run it without a follow-up call.
Value vs \$8,500	7.5	9 / 10	The ready-to-use scripts are the difference between a diagnosis and a tool, and v3 closes the dollar-sizing gap (Section 06), so the report now states what the leak costs, what fixing it is worth, and how small the target is. Remaining gap: a packaged, priced options sheet and a branded export, both packaging, not analysis.

What still needs improving before selling this at volume

QUANTIFICATION GAP -- CLOSED

An earlier draft named the constraint without sizing it. The report now sizes it (Section 06): the entire recurring-revenue floor not switched on, annualized, or roughly one full-lifetime retainer lost per month of rooms, all labeled with assumptions (figures redacted in this sample). The leak is now priced, not just described.

DESIGN / BRAND GAP

No logo, cover, or PDF export. The rail and Nine-Agent components should be templated and reusable, not hand-built per report.

REPEATABILITY GAP

Built bespoke. Selling at volume needs a templated intake-to-report pipeline, which is, fittingly, the same overbuild-bespoke / underbuild-repeatable pattern the report diagnoses in the business.

OPTIONS-SHEET GAP

Should end with priced fixed-scope options as a decision sheet, the documented bridge from diagnosis to retainer. Implied here, not packaged.

THE META-VERDICT

Composite moved from roughly 75 percent of a sellable \$8,500 product (v1) to roughly 88 percent (v2) to roughly 91 percent (v3). v2 added the built, usable fix that v1's QA predicted was missing; v3 closed the last analytical gap by dollar-sizing the constraint. As a thinking product it was already client-grade; as a usable product it ships scripts a client can run and now states what the problem costs. The remaining gap is purely production packaging (a branded PDF export, a templated intake-to-report pipeline, a priced options sheet), not analysis. And the deliverable still proves its own finding: the highest-leverage next step is to templatize it so it is not hand-built each time, which is the same lesson, build the repeatable rail, that the whole report is about.

14 Method & Evidence

METHOD

Catalyst Works' own deliverable structure, dogfooded and updated: the Nine-Agent Audit (five named agents re-run on the owner answers), the four-level maturity scoring re-scored, the eight-lens diagnostic discipline (Theory of Constraints lead: "the lens follows the constraint"), and the offer ladder as the fix format. Layered on top: a re-ranked MECE issue tree, an owner-confirmed 5 Whys driven to root, a value-driver decomposition, a funnel read, a real-market outside view, and a five-round Sankofa Council in premortem mode that re-ran the verdict against the new fact.

HOW THE DIAGNOSIS UPDATED ON EVIDENCE (THE SINGLE MOST IMPORTANT NOTE)

An early read named an unmade founder-commitment as the binding precondition, the honest read of the document evidence at the time. The owner's live discovery answers corrected it: the commitment is made, fully and full-time. That one correction moved the constraint one domino down the chain, from "will he commit" to "the in-room clarity-and-conversion rail." This is the diagnosis doing what a diagnosis should: updating when the primary source speaks. The earlier analysis was not wasted; it isolated the strategy, pricing, and channel correctly, and ruled out the convenient answers, which let the final version land the real root cleanly the moment the owner

filled the one gap only he could fill. A later pass then sized the constraint, because a Margin Diagnostic should always price the margin being lost.

EVIDENCE BASE

- The owner's live discovery answers (primary source): commitment, revenue targets, delivery rank, distribution reality, the self-selling root, sales identity, proof, and budget discipline.
- Internal dossier: the company's own site history, internal docs, and the workshop after-action review.
- External dossier: company Drive folders (playbooks, brand) and the Notion hub (pricing, ideas).
- Research notebooks holding the coherent long-form strategy.
- The prepared podcast and conference target list (specific show and event picks in Section 09).
- Outside view: 2026 benchmarks on fractional-AI and SMB AI-consulting pricing, market growth, and consultant failure modes.

TRUTH STATEMENT

No revenue, client, or proof was invented. He has no client logos yet, and the report says so plainly; operator-as-proof is named as a bridge, not a substitute. Every figure in the full report traces to a dossier or the owner's own answer. Where the early read guessed, the later one replaced the guess with the owner's words. This is a redacted sample of an internal report, and it is honest where it stings, because that is where the value is.

BOTTOM LINE

The commitment is made, the market is real, the pricing is right, and the target is small: a few retainers. The one thing between here and the recurring-revenue floor is a rail, one locked offer, a memorized pitch, and a three-step ask, so his connection-seeing mind sells instead of wanders. Build the rail this week. Drill it daily. Get in the rooms. Let every no become a referral. The plan cannot ramble.

Catalyst Works -- Margin Diagnostic Sprint, run on ourselves -- Sample / proof asset (private figures redacted)

Reframed on the owner's live discovery answers. Verdict: commitment is resolved (all in); the binding constraint is the in-room clarity-and-conversion rail (one locked offer, a memorized pitch, a three-step consultative ask) that lets a connection-seeing mind sell instead of wander, with distribution the necessary second move. Method: Nine-Agent Audit + four-level maturity scoring + Theory of Constraints + a five-round Sankofa Council in premortem mode + primary-source owner discovery.